COURSE TITLE	COMPANY ACCOUNTING
COURSE DURATION	3HRS
TYPE OF EXAMINATION	WRITTEN EXAM
LECTURER	Dr. Ayankeng Godlove N.

CLASSE: BME 3

Instruction:

Answer question ONE (1) and TWO other questions

Question ONE carry 30 Marks and other questions carry marks each (20 Marks)

Question One

On the 01-01-2001 LOLIPOP Plc was created with a capital of 49,000,000 Fcfa and divided into shares of 10,000 Fcfa each. The contribution in kind included;

Element	Amount in Fcfa
Agricultural land	8,000,000
Agricultural building	10,000,000
Depreciation of Agricultural building	5,000,000
Agricultural equipment	4,000,000
Stock of goods	8,500,000
Provision for loss in stocks	500,000
Customers	4,900,000
Provision for bad debt	900,000

The formation expenses

Element	Amount in F CFA
Formation	2,700,000 without Tax

Work requied

1-Determine

a) The total numbers of shares

b) The total numbers of shares in kind

c) The total numbers of shares in cash

d) The dateline for the payment of shares in cash

f) Present the opening balance sheet

2- Shares in cash relative to formation were paid on the 15-08-2001, paid at BICEC Bank. Record the call of the second quarter.

3-- On the 01-07-2002, the company made a call for the second quarter ~~called of all the shares in cash.~~ Shareholders were given up the 31-07-2002 to pay their quarter. By the 31-07-2002, only 355 shares were paid. USTUS, a shareholder of 180 shares failed to pay his quarter. His shares were forfeited on the 09-09-2002 and were sold at the stock exchange market at the price of 7500 Fcfa on the 10-09-2002. Brokerage and commissions amounted to 60,000 Fcfa and interest rate for lateness amounted to 10%. Record the transactions related to the third call and determine to balance to be oaid to wamba

4- On the 01-07-2003, the company called for the third and last quarter of all the shares in cash. Shareholders were given up the 31-07-2003 to pay their quarter. By the 31-07-2003, all the shares were paid except SANKARA a holder of 120 shares who paid on the 30-08-2003 and suffered a lateness interest of 8% per year.

Question Two

On the 2nd of January 2021, ANABA and WAMBA formed an ordinary partnership with a capital 28,000,000 Fcfa and shares of 5000 Fcfa each

ANABA brought the following items

Element	Amount in Fcfa
Goodwill	6,000,000
Equipment	7,000,000
Depreciation of equipment	2,000,000
Furniture	1,000,000
Depreciation of furniture	500,000
Stock of goods	10,000,000
Provision for loss in stocks	2,500,000
Customers	3,000,000
Suppliers	1,500,000
Suppliers bill payable	500,000

WAMBA brought the following items

Element	Amount in F CFA
Bank	3,000,000
Cash	7,000,000

Work required

a) Determine the number of shares owned by DELIS and DELISA
b) Record the transactions in the journal to show all formation entries considering that the notary fee was 357750 Fcfa (Tax Inclusive)
c) Show the opening balance sheet as at 31-12-2020

Question three

The statutes of a company states that the profits after tax is to be distributed as follows;
-10% of the profits constitute the legal reserve as stipulated by law
- 6% of the capital is given to shareholders as statutory interest
- On the balance, the general assembly may decide on the endowment of an optional reserve
- The rest is eventually shared as super dividend

On the 31-12-2003, the amount of capital was 25,000,000 Fcfa . The net profit of the period was 7,400,000 Fcfa and optional reserve decided by the shareholders was 600,000 Fcfa. The capital was distributed as follows;

	Amount in Fcfa
LUCY	15,000,000
DENIS	400,000
AMIN	120,000

Work required

a) Present the profit appropriation table and show the table
b) Determine the profit per shareholder
c) Explain any 3 conditions for appropriation

Question Four

On the 2nd of January 2021 JASMINE and LAMINE formed an ordinary partnership with a capital that was divided into shares of 5000 fcfa each

The assets and liabilities brought by JASMINE included the following

Balance sheet as at 02-01-2020

Element	Amount in Fcfa	Element	Amount in Fcfa
Good will	8,000,000	Capital	25,000,000
Equipment	2,000,000	Suppliers	2,000,000
Furniture	6,500,000	Bills payable	800,000
Stock of goods	5,000,000		
Customers	1,500,000		
Bank	4,200,000		
Cash	600,000		

The nominal value of the customers is 1,800,000 Fcfa.

LAMINE brought 8,000,000 Fcfa in cash and promised to pay 2,000,000 Fcfa at the Bank on the 06-10-2020

The formation expenses included the following

Element	Amount in F CFA
Notary fees	400,000
Publicity Expenses	120,000
Registration Duties	1% of Notary fee

Work required

a) Determine the value of provision for loss in value of the customer's account.

b) Determine the total capital and the capital contributed by each shareholder

c) Analyze the contributions of both partners

d) Make the journal entries for the formation of the partnership

Good luck